



THE VERTEX TRADE STORY

Step by step guide for the order block strategy



Every trade has a story...

Think about it this way, would you take a trade without a reason as to why you are taking the trade? Sounds ridiculous right?

You need to trade with logic. Without logic - no trade.

At Vertex we have managed to nail all the complexities to trading smart money concepts down to a rule based method.

Trading rule based removes the guesswork, no rules = no trade. Simple.

Not only that, it has been narrowed down to 2 rules. These are the only two rules you need in order to build a successful trade story.

This PDF will Break the full strategy down to a step by step approach. Print this, download this do whatever you want with this PDF, but this is your go to guide should you get stuck.

Step 1: Multi time frame analysis

Analyse the overall market structure on the higher time frames Weekly - daily - 4 hour.

Use the time frame you feel comfortable. Daily or the 4 hour are probably the easiest and most utilised. The weekly time frame is a low slower but its a good to have an idea what trend is showing you. From looking at the higher time frames you gain an understanding regarding the overall trend and bias of the market you are currently looking at.

Once you have done this, identify what structure you are expecting next, whether its Higher low (HL), Lower Low (LL), Higher high (HH) or a Lower Low (LL). This is based on your higher time frame analysis, So for example, if you stick to using the daily time frame as your main trend indicating time frame, Identify whether you are waiting for another of the structures listed above. This is where a sound understanding of market structure is key!

Remember:

Higher time frames (4 hour +) - indicate our overall trend and bias - Swing points

Lower time frames (Sub 4 hour) - Indicate intraday positions - Intraday points

Timeframe Rules

If you struggle to decide which timeframes to use, you need to decide what time of trader you want to be.

Use the rule of 3 to decide which time frame you are going to use.

These time frame rules are only for those who use confirmation entry.

Rule of 3: Your entry time frame - 3, skip one and use the remaining two.

As listed below:

SWING:

MONTHLY POI = 4h or daily for entry

WEEKLY POI = 1 hour or 4 hour for entry

Daily = 1h or 30m for entry

INTRADAY:

4 HOUR POI = 30m or 15m for entry

1 HOUR POI = 15m or 5m or 1m for entry

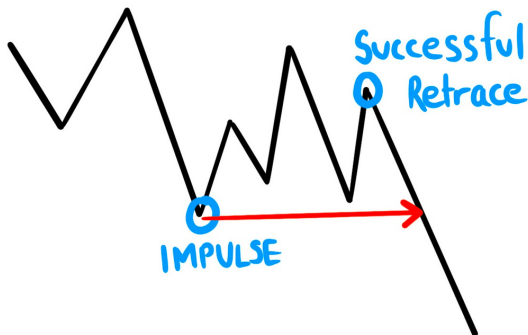
Scalping:

15M POI = 5m 1m or 30s for entry

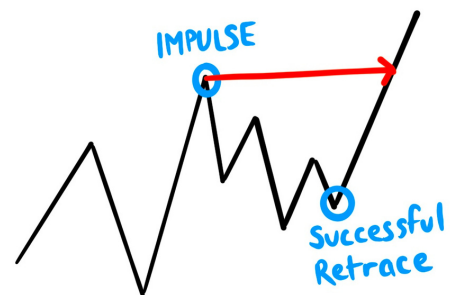
Remember the 2 rules!

When determining if price is bullish or bearish, you need two things!

1. **Impulse** - An impulse which breaks a structural point
2. **Successful retrace** - The retrace which break the structure the impulse created.



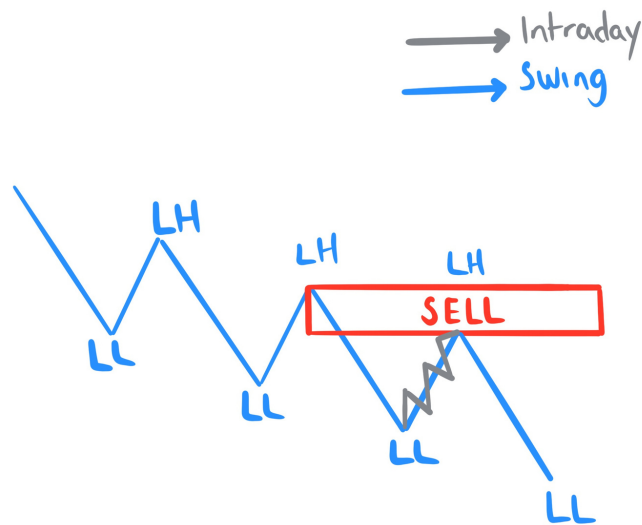
Bearish trend



Bullish trend

These Two rules will determine your trend on any time frame you are using.
So identify what trend you are in on the higher time frames to identify your overall Bias and trend.

What are you anticipating?



Above we can see our Higher time frame Bias is bearish, within those pull backs we have intraday bullish bias. So when following a higher time frame bias dont be confused with the lower time frame market shift. Always remember the bigger picture. Highest probability from a trade comes from the alignment of multi time frames showing same trend bias. Although, price is bullish on the lower time frame, once it reaches our Higher time frame Order block, the lower time frame as we expect should shift in market structure and become bearish. This is a high probability entry level.

Step 2: Identify your POI

Point of interest being our Order block. More importantly identify the order block on the higher time frame. This is the only area you are looking to enter from to follow trend. If you are comfortable it is the same process for counter trend lower time frame moves.

Once you identify your OB, highlight and set an Alert at the Open of the OB. go through multi time frames and gain and understanding of OBs which are CLEAR that need to be mitigated. The reason we do this, so we have a rough idea where we should expect price to react from before following our high time frame bias. Now, if you are to follow a risk entry method, this OB refinement is crucial as you would be setting a limit order off the refined OB within your higher time frame OB.

For example, within a daily OB you may find a very clear 5min time frame OB, so you may expect price to mitigate this order block before reacting. If you chose a risk entry method, this would be your entry candle. Make sure you understand OBs and why they exist. You have to remember order blocks are footprints left behind from institutions. They drive price in one direction before their desired move, but to drive price to grab liquidity, they need to sacrifice a position, for this reason they dont use Stop losses. So although price has a strong reaction, price returns to the order blocks so that institutions can mitigate their losses. Without understanding this, you will not understand the background behind this strategy and also will not have a clear understanding of your trading. This is key to your Trade story

Step 2: Identify your POI

When identifying Order blocks, you want to find clear Order blocks. By clear, I mean, no wicks tickling into it. We want a clear OB and Inefficiency / Imbalance. This signifies a strong OB.

Imbalance is key, remembers markets always have an equilibrium, 50% buying and 50% selling. When a trader wins another trader loses. That is all part of it. However, when there is a 100% of either buying or selling, this is forced by institutions. Us retail traders cannot produce that move. This indicates to us that the Institutions are active at this OB. If there is ever an OB that you doubt, then it's not a clear OB. If it were a clear OB, you would never question it.

Once you identify your OB, set and alert and sit on your hands.

Step 3: Go to lower time frame

**Price has just entered your HTF POI and your alert has now gone off!
Great!**

Now time to look to enter the trade.

Once price is there, go to a lower time frame of your choice, there is not set time frame, no set rule about this, can use 1min, 5min or even 8min.

Whatever time frame suits your fancy it is down to you.

However, the main thing we look for is a Break of structure (BOS). A good BOS is key. Now a BOS can be seen differently by many, at Vertex, our mentors use a Candle body break as a BOS, not just a wick break. This can be played around with and can be tailored to suit what you like and what you are comfortable with.

Once you have identified a clear BOS, you need to locate your LTF OB. Again, you want the same as before. You want a clear OB, emphasis on the word clear. An OB with inefficiency. This is where you will look to enter your trade.

Step 4: Entry time

**So you've done all that and now at the point where you have found your LTF OB which is very clear and you're happy with it. However, if you chose a risk entry method, the rules are the same. However, risk entries only worth doing if momentum is in your favour.
There are a few ways you can enter,**

You can set a limit order at the:

**OPEN of the OB
50% of the OB
Wick trick, only if it is present.**

All placed with stop loss Above the OB including spread if you are selling or stop loss below the OB if you are Buying also including spread. If you trade major pairs, such as EURUSD spread shouldn't be an issue.

The Open of the OB being the highest probability of trigger with the wick trick being the lowest probability of triggering. Note, I said triggering, not probability of the trade winning, as that probability is the same regardless.

How to decide?

Easy!

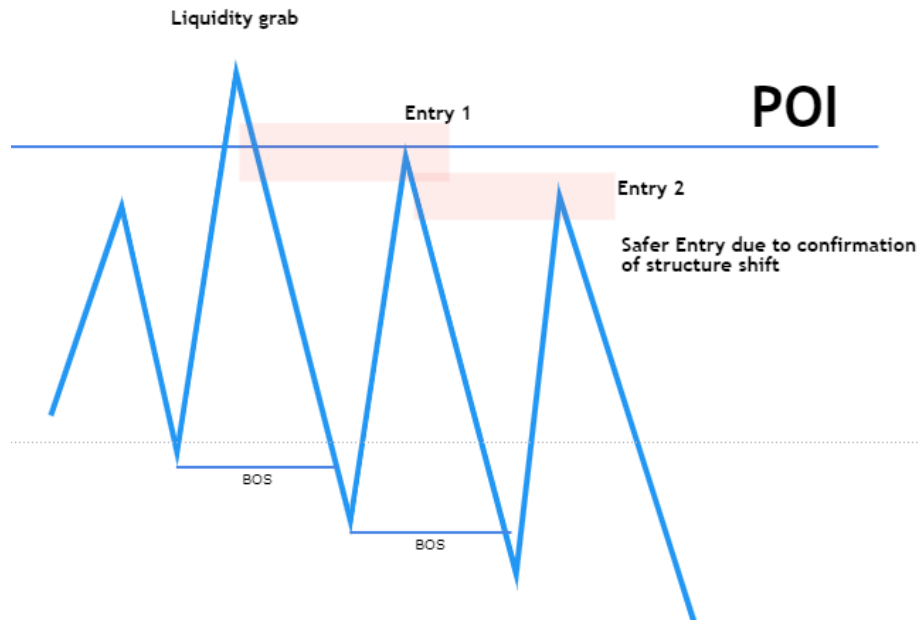
Don't get greedy with RR. Vertex mentors have a max of 5 pips for a stop loss.

If the open provides us a 5 pip or less stop loss, then use the open. Don't try force a high RR and be a hero. 5 pips will give you a great RR regardless.

However, what you chose as your max Stop loss size is down to you.

Step 4: Entry time Patterns

There are 2 entry patterns for a buy and sell each.



Sell entry pattern Type 1:

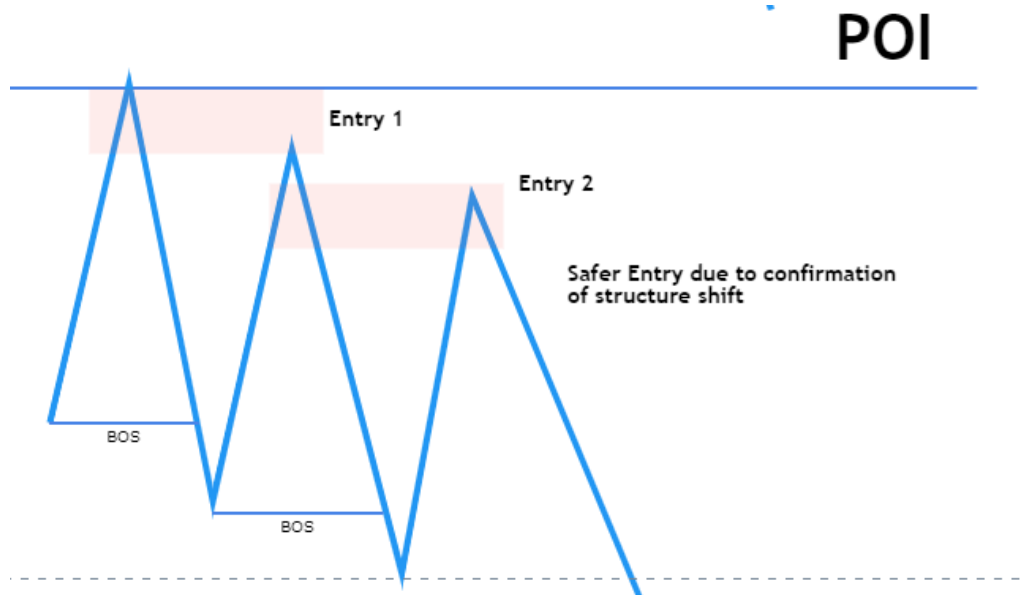
Once price taps into here we follow these steps:

Identify a liquidity grab which breaks the low the previous high created. 1st entry here can be the OB which created the break of the low. Following our standard entry procedure.

2nd entry is a safer one purely as it confirms change in trend. Again using the OB from the failed high.

Step 4: Entry time Patterns

There are 2 entry patterns for a buy and sell each.



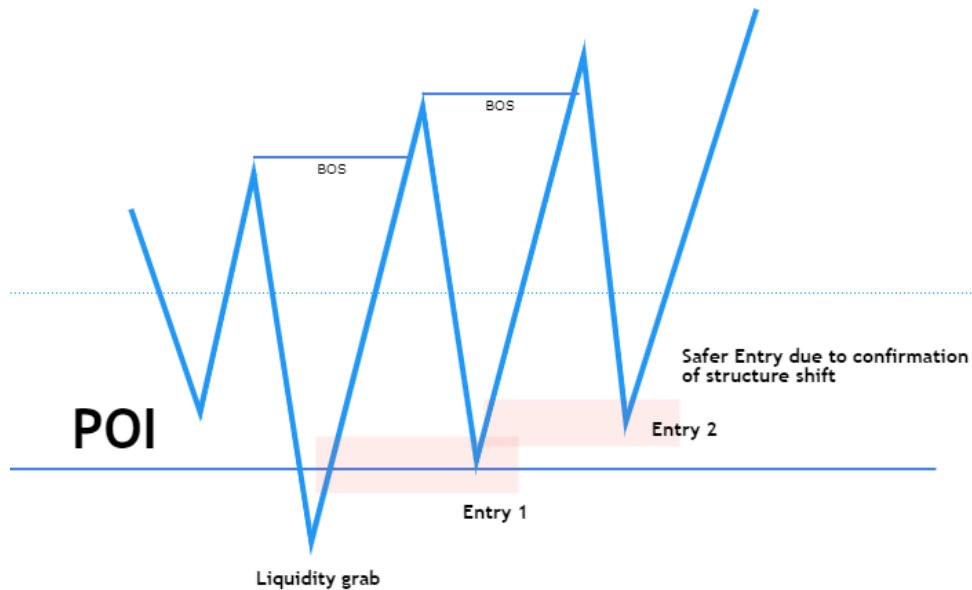
Sell entry type 2.

**Pretty simple here,
Once price taps into here we follow these steps:**

**Identify a BOS. Main difference here, we don't have a liquidity grab.
1st entry here can be the OB which created the break of the low. Following
our standard entry procedure.
2nd entry is a safer one purely as it confirms change in trend. Again using
the OB from the failed high.**

Step 4: Entry time Patterns

There are 2 entry patterns for a buy and sell each.



Buy entry type 1.

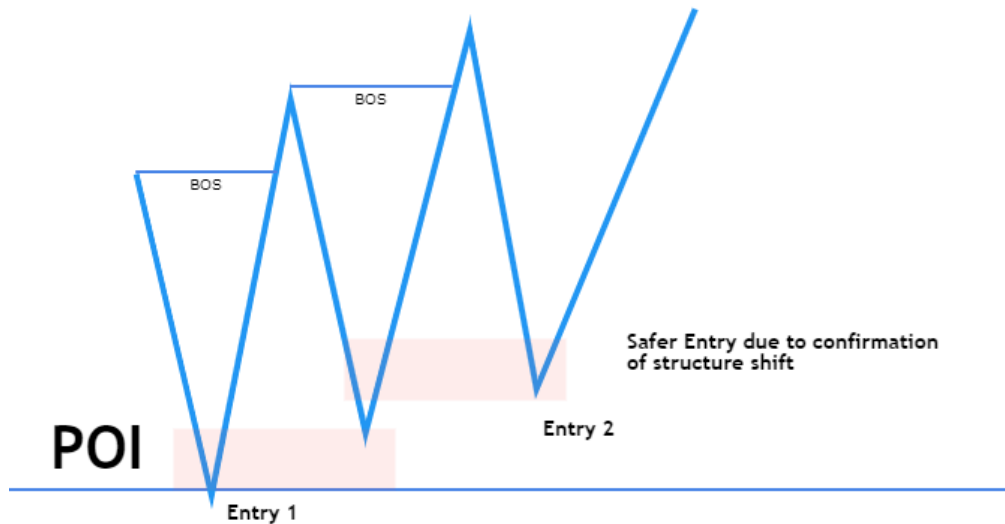
**Pretty simple here,
Once price taps into here we follow these steps:**

**Identify a liquidity grab which breaks the low the previous high created.
1st entry here can be the OB which created the break of the low. Following
our standard entry procedure.**

**2nd entry is a safer one purely as it confirms change in trend. Again using
the OB from the failed high.**

Step 4: Entry time Patterns

There are 2 entry patterns for a buy and sell each.



Buy entry type 2.

**Pretty simple here,
Once price taps into here we follow these steps:**

**Identify a BOS. Main difference here, we don't have a liquidity grab.
1st entry here can be the OB which created the break of the low. Following our standard entry procedure.
2nd entry is a safer one purely as it confirms change in trend. Again using the OB from the failed high.**

Step 5: Trade Management

So you are in a trade! Great!

You followed your plan.

Now the hard bit. [Management](#).

This is subjective to you. If you're following the higher time frame Bias, you would expect a new structure to form, such as new low or new high. You can set targets, at previous structure points, such as the recent low or recent high, or you can simply trail a trade. How you trail is down to you, whether you chose an aggressive method or not. Trailing may show to be effective, as you may get a full swing trade from your entry if trailed conservatively. But I will leave that decision to you.

If you want to trade counter trend on the lower time frames, go for it!

However, dont forget the bigger picture!!

Facts

You are going to lose! Loses will happen over the course of your trading career. Accept it. Sooner you accept it, easier it will be. Does not mean the strategy is rubbish or it doesn't work for you, it only failed this time. Also, sometimes, it may not be a human error, the strategy may fail you. So do not always blame yourself.

Don't chase a trade or force one. Utilize alerts and practice sitting on your hands till price comes to your POI.

So you have won several trades in a row and you get excited and feel invincible. Do not let the winners get to you as you are also trading with emotion which will cloud your judgement.

Manage your risk. If a trade has you sweating and worrying, you have risked too much. Risk an amount you comfortable risking. An amount that does not make you think twice.

Focus on yourself, if someone else is doing better, who cares!? You shouldn't. You focus on you and your own self growth.

Trading is not easy, regardless of how easy others make it seem. Accept this fact.

Have a plan and stick to it. Which is why we developed this guide. If there is one step missing, dont trade it. Wait! Opportunities are always around the corner.

One more rule....



KEEP
IT
SIMPLE